Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072
Case 25-G-0073

May 2025

Prepared Testimony on Behalf of
Consumer Power Advocates

DAVID BOMKE
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JONATHAN MOORE

Q. PLEASE STATE YOUR NAMES, OCCUPATIONS AND BUSINESS ADDRESSES.

A. David F. Bomke, Rakesh Parasuraman, and Jonathan Moore. David is an independent energy consumer advocate and the sole member of Bomke & Company, LLC, located at 112 Laura Rd, Hamden CT 06514. Jonathan and Rakesh are employees at L5E, LLC, an energy management consulting firm, located at 4545 Fuller Dr., Ste 412, Irving TX 75038.

Q. ON WHOSE BEHALF ARE YOU APPEARING IN THIS PROCEEDING?

A. We are appearing on behalf of Consumer Power Advocates ("CPA"), an association of large, non-profit institutions whose primary goal is to decrease the cost of energy in an environmentally sustainable way by focusing on regulatory decisions and programs that impact energy consumers in New York City. Member organizations include:

- Columbia University Irving Medical Center
- Fordham University
- Memorial Sloan Kettering Cancer Center
- Mount Sinai Health System
- New York University
- New York-Presbyterian Hospital
- Northwell Health
- The Museum of Modern Art

CPA members are typically high-load factor customers, most of whom receive their electric service under Con Edison's SC-9 Rate II Time of Day (TOD) rate. CPA has represented its members at the New York State Legislature, New York Independent System Operator (NYISO), New York State Public Service Commission, and the Federal Energy Regulatory

Commission (FERC) since 2002. CPA's leadership has filed testimony before proceedings of the Energy Committee of the New York State Assembly, proceedings of FERC, and proceedings of the New York City Council.

Q. HAVE YOU PREVIOUSLY SUBMITTED TESTIMONY IN A PROCEEDING BEFORE THE NEW YORK STATE PUBLIC SERVICE COMMISSION ("PSC" OR THE "COMMISSION")?

A. Yes, David has previously submitted testimony in various cases before the Commission, including:

07-E-0523, 07-S-1315, 08-E-0539, 09-E-0428, 09-G-0795, 09-S-0794, 13-E-0030, 13-G-0031, 13-S-0032, 16-E-0060, 16-G-0061, 19-E-0065, 22-E-0064, and 22-G-0065

Rakesh and Jonathan have previously submitted testimony before the Commission in the cases below:

22-E-0064 and 22-G-0065

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND AND RELEVANT WORK EXPERIENCE.

A. Rakesh is Vice President, U.S. Account Management at 5. Over the past decade, 5 has advised and represented the interests of non-profits and corporate entities on issues ranging from utility deregulation to strategic energy planning and management. Rakesh has an MBA from the University at Buffalo and a BS in Mechanical Engineering from the University of Mumbai.

Jonathan Moore is a co-founder, Chief Strategy Officer, and General Counsel at 5, which was established in 2011. Jonathan manages corporate and regulatory matters at 5. Jonathan has a JD from Yale Law School and a BA from Princeton University.

David graduated from MacMurray College and completed a year of graduate studies at Rice University. David has worked as a data analyst in the fields of educational staffing, facilities management, and energy management since 1985. As a consultant, David managed the energy data and procurement activities of the New York State Office of Mental Health from 1991- 2004. David served on the Steering Committee of the New York Energy Buyers Forum (NYEBF) from 1993- 2004, when NYEBF combined with the Owners Committee on Electric Rates (OCER) to form New York Energy Consumers Coalition (NYECC). From 2004, David served as the full-time Executive Director of NYECC for almost ten years and was then employed at the Fulcrum Group from 2013 until retirement in 2021. David also served on the Energy Committee of the New York Building Congress and continues to serve on the Energy Committee of BOMA NY. David has also served in the following capacities:

- **Manhattan Chamber of Commerce**, Board Member/Vice President of Diversity (2007 – 2013)
- **New York State Energy Research Development Authority**, SBC Advisory Board Member (2006 – 2012)
- **New York State Evaluation Advisory Group (**2012 – 2013)

- **Greater New York Construction Users Council**, Advisory Board Member (2006 – 2013)
- **New York State Energy Research Development Authority**, Appliance Standards Review Comm. Member (2005 – 2012)
- **New York City Energy Policy Task Force**, Member (2005 – 2007)
- **Long Island Energy Users Group, Long Island, New York**, Co-Founder/Secretary (1993 – 1996)

Q. WHAT WERE YOUR RESPONSIBILITIES AS EXECUTIVE DIRECTOR OF NYECC?

A. NYECC focused and continues to focus primarily on the needs of energy consumers in Con Edison's service territory. In David's prior capacity, he was primarily responsible for the twin focuses of advocacy and education. Advocacy responsibilities included representing the needs of energy consumers in regulatory rate proceedings (such as this one), in collaboratives resulting from such rate proceedings (such as the collaboratives resulting from Commission Orders and Joint Proposals in Con Edison Electric, Steam, and Natural Gas Rate Cases, 04-E-0572, 07-E-0523, 08-E-0539, 09-E-0428, 13-E-0030; 05-S-1376, 07-S-1315, 09-S-0794, 13-S-0032; and 06-G-1332, 09-G-0795, 13-G-0031, respectively), in interactions with energy supply companies and with the regulated utility company (i.e., Con Edison), and in interactions with agencies such as the Federal Energy Regulatory Commission and the New York Independent System Operator. A particularly relevant component of the advocacy role was his service on the

Steam Business Development Task Force and that Task Force's preparation of the Steam Business Development Plan for the Consolidated Edison Steam System. David had also been heavily engaged in the work of the Energy Efficiency Portfolio Standard proceeding since its implementation, serving on several working groups. He also served on New York City's Energy Policy Task Force. The educational component of David's responsibilities included the development and presentation of various seminars, newsletters, and member briefings on issues of critical urgency to energy consumers in Con Edison's territory on behalf of NYECC.

Q. PLEASE SUMMARIZE YOUR TESTIMONY.

A. There are three critical elements of our testimony:

1. The current rates CPA members are paying for the delivery of electricity and natural gas are already far too high, and the proposed rate increases threaten significant damage to our members' costs of operation and the constituents they serve – both directly and indirectly.
2. Second, we are very concerned about the scale and extent of property taxes incorporated into both the current and proposed delivery rates. While we do not contest the City's right to collect property tax on utility equipment, we are concerned with the extent to which this expense is hidden in utility bills, even though such property taxes may represent over one-third of annual operating expenses and nearly one-quarter of base distribution rates.

3. Third, CPA members are very concerned with the Company's delays in providing approvals needed for expanded utility services.

Regarding the Impact of High Electricity and Natural Gas Rates on Our Operations

Q. DO YOU HAVE ANY INTRODUCTORY COMMENTS TO MAKE AS TO ELECTRIC RATES?

A. Yes. On October 10, 2024, the U. S. Energy Information Administration posted its final Annual Electric Power Industry Report, Form EIA-861 detailed data files for 2023. We analyzed the utility $/MWh revenue for delivery-only industrial customers (which account for over 84% of the calendar year 2023 MWh delivered to the Con Edison industrial customer class). Using this metric, Con Edison is at the top of the investor-owned utilities list with average delivery rates of $0.1092/kWh (lower only than Con Edison's subsidiary, Rockland Electric Co.) The top ten investor-owned utilities in this industrial class category and their relative rates are listed below.

Utility	Rate/kWh
Rockland Electric Co (NYISO)	$0.1204/kWh
Consolidated Edison Co-NY Inc	$0.1092/kWh
San Diego Gas & Electric Co	$0.1001/kWh
Nantucket Electric Co	$0.0998/kWh
Pacific Gas & Electric Co.	$0.0924/kWh
The Narragansett Electric Co	$0.0817/kWh
Massachusetts Electric Co	$0.0779/kWh
Fitchburg Gas & Elec Light Co	$0.0719/kWh
NSTAR Electric Company	$0.0693/kWh
United Illuminating Co	$0.0677/kWh

Con Edison's delivery rate is more than three times the national average rate of $0.0335/kWh, and more than 84 times as high as the $0.013/kWh charged by Appalachian Power Co. Interestingly, the same calculations indicate that Rockland Electric (PJM) industrial class customers pay only an average of $.0622/kWh in delivery rates, 50% less than the same customers located within NYISO territory. The magnitude of the proposed rate increase is unprecedented. Con Edison's total request will increase electricity delivery rates by a staggering $1.6 billion, and natural gas delivery rates by $349 million, down $91.5 million from the Company's original request.

We have summarized the base distribution costs impacts of Con Edison's current rates and proposed rates versus the base distribution rates of urban centric utilities serving Baltimore, Boston, Chicago, Detroit, Philadelphia, Pittsburgh and Washington DC, for a typical medium electric commercial customer (annual consumption of ~1,400,000 kWh w/ peak demand ~370 kW; See Exhibit CPA – 001), for a typical large electric commercial

customer (annual consumption of ~37,000,000 kWh w/ peak demand ~6400 kW; See Exhibit CPA – 002) and for a typical medium firm service commercial gas customer (annual consumption ~400,000 therms; See Exhibit CPA – 003). The results are startling. For example, for a large electricity consumer in New York City, the proposed Con Edison distribution rate will be more than double the base distribution rate for the next closest city (Detroit) and are more than quadruple the base distribution rate of the least costly city (Pittsburgh). In all cases, the Con Edison rate for base distribution service exceeds the comparable rate in all other utilities.

Q. DO YOU BELIEVE THAT CON EDISON FULLY UNDERSTANDS THE IMPACTS OF ITS RATES ON INDIVIDUALS AND INSTITUTIONS IN ITS TERRITORY?

A. We do not. Although Con Edison's own web page asserts that it serves 10 million people, fewer than 4 million entities actually pay for Con Edison's services. Accordingly, the majority of people living in New York City do not directly purchase service from Con Edison. The people who live in master-metered apartments in New York City use electricity and natural gas but often receive no information on the energy they are using, its environmental impacts, or its costs. The employees who work in offices, retail stores, restaurants, wholesale markets, or warehouses rarely have a clue about their energy profiles. On December 20, 2024, Mayor Eric Adams and NYC Tourism + Conventions President and CEO Julie Coker announced "a new end-of-year tourism forecast that shows the city's continued strong economic growth and reputation as a global tourist destination.

In 2024, nearly 65 million visitors came to New York City — the second-highest figure in city history and a 3.5 percent increase from the previous year…. "With nearly 65 million visitors this year — the second highest figure in our city's history — New York City has once again solidified its position as the premier destination in the nation and one of the top travel spots in the world," said **Mayor Adams**. "New York City remains a dynamic hub for tourism, drawing tens of millions of visitors from around the globe and bringing in $79 billion in economic impact." (https://www.nyc.gov/office-of-the-mayor/news/941-24/mayor-adams-celebrates-nearly-65-million-visitors-nyc-2024-second-highest-number-visitors [Mayor Adams Celebrates Nearly 65 Million Visitors to NYC in 2024, Second Highest Number of Visitors | City of New York). Few of those visitors know the impact of Con Edison's utility rates on the products and services they purchase during their visits. New York City energy consumers pay more than most people in the continental United States for electricity and natural gas, and it is no coincidence that we also pay more for theatre and hospitality services. Con Edison's utility delivery charges increase the costs of delivering the finest medical services in the world, and the admission fees for some of the greatest museums in the world. Every penny paid to Con Edison is a penny not paid to the researchers, physicians, nurses, orderlies, maintenance and operations staff, administrators, and others who deliver those services. Every payment to Con Edison detracts from resource availability for Con Edison's customers to purchase food and medicine, to pay for essential workers, and to make charitable contributions.

Q. WHY IS THAT LAST POINT SO CRITICAL TO THE MEMBERS OF CONSUMER POWER ADVOCATES?

A. Non-profit institutions rely on governmental funding and charitable contributions to fund a significant portion of their ongoing operations. In Con Edison's service territory, many of those tax revenues supporting the government funding programs and charitable contributions come from residents and businesses also located in Con Edison's service territory. The draconian rate increases requested by Con Edison will have a direct impact on the taxpayers, donors, and governmental agencies that support these non-profit corporations. Accordingly, these rate increases are likely to both reduce revenues and increase expenses for non-profit institutions. The healthcare organizations represented by CPA have limited ability to increase their revenues to offset the costs of these new rates, as reimbursement rates are set by government agencies and insurance companies. Simply put, every dollar spent on increases in utility rates is a dollar our CPA hospital members cannot spend on nurses, physicians, medical supplies, medical equipment, and other healthcare expenses. Left unchecked, these continued large increases in utility rates could exacerbate the current epidemic of hospital closures in New York State.

<u>Regarding the Impact of Property Taxes</u>

Q. WHY DO YOU CITE PROPERTY TAXES AS A CONCERN IN THIS PROCEEDING?

A. Property taxes are a significant portion of Con Edison's rates, and this expense is hidden from customers. According to Con Edison's rate case summary presentation delivered at the technical conference on March 20, 2025, property taxes represent $430 million (26.7%) of the total electric rate increase request of $1.610 billion. Elsewhere in that presentation, Con Edison asserts that property taxes represent $65 million (14.8%) of the total natural gas rate increase request of $440 million. Combined, property taxes of $495 million represent 24.1% of the total requested increase of $2.050 billion. Clearly, this is a significant portion of the current natural gas and electric rates and the proposed increases in these rates. This information should be detailed on every bill issued by Con Edison, so that customers have transparency on where their hard-earned money is spent.

Q. WHICH OF THE PROPOSED CON EDISON RATES ARE REFERENCED IN YOUR ANALYSIS? THOSE PROPOSED ON JANUARY 31ST OR THE AMENDED RATES FROM APRIL 10TH?

A. We acknowledge that the bulk of our analysis is based on the originally proposed rates from January 31st, which have since been reduced. We are grateful for the downward revision on the newly proposed filing of April 10th.

Q. IS THIS LEVEL OF TAXATION COMPARABLE TO PROPERTY TAXES COLLECTED BY OTHER UTILITIES ACROSS THE NATION?

A. Absolutely not! CPA retained Sustainable Energy Advantage, LLC, a nationally recognized energy consultant, to compare property tax costs in other jurisdictions. The biography for Tom Michelman, who completed this analysis and is Vice President at

Sustainable Energy Advantage, is included as an exhibit (See Exhibit CPA – 004). By making simple inferences from Con Edison's own testimony (Exhibit DAC-2 Page 34 of 130, Table 1, Page 1 Con Ed Electric 2023 ECOS Rate of Return) Sustainable Energy Advantage's analysis (See Exhibit CPA – 005) quantifies Con Edison's electric system property taxes as 36.5% of the operating expenses quantified in Con Edison's 2023 Embedded Cost of Service Study and 23.2% of the Revenue Requirements for that time period. In sharp contrast, property taxes for a sample of urban centric utilities represent only 9.9% of the electric rates operating expenses, and 11.6% of the natural gas of the operating expenses for Baltimore Gas and Electric (BGE), or 10.4% of BGE's operating expenses. Similarly, property taxes represent 16.1% of the operating expenses, and 12.2% of the revenue requirements for electric rates in the NSTAR service territory which serves Boston, Massachusetts. Similarly, property taxes represent 0.8% of the operating expenses, and 0.6% of the revenue requirements for electric rates in the Commonwealth Edison service territory which serves Chicago, Illinois. And finally, property taxes represent 1.6% of the operating expenses, and 1.1% of the revenue requirements for electric rates in the Potomac Electric Power Company service territory serving Washington, DC.

Our analysis was restricted to these urban centric service territories because of the arduous efforts to compile such data (i.e., identifying and summarizing comparable data buried in voluminous rate case filings). It was interesting to note that most other utilities do not break out property taxes when presenting components that comprise operating expenses and revenue requirements but include property taxes embedded as part of the "Other Taxes"

component. This is also consistent with FERC Form 1 data, which does not include a line item for property taxes but embeds property taxes as part of "Other Taxes". Given these observations, we have little doubt that the relative and absolute property tax impacts on Con Edison distribution rates are among the highest, if not the highest, of any U.S. utility.

Q. WHY DOES THE INCLUSION OF THIS LEVEL OF PROPERTY TAX CONCERN YOU?

A. Property taxes ranging from 23-37% of the total delivery charges of Con Edison's natural gas and electric costs should be clearly broken out on every Con Edison bill so that consumers can fully understand the major drivers of their bills. This would be similar to how GRT, sales taxes, and other taxes are already shown on customer bills. In her direct testimony in Con Edison's Rate Increase Request, Stephanie Merritt (Property Tax Witness) asserts on p. 11, line 4 of her testimony, "The Company has no control over tax rates," essentially disavowing any responsibility for their impacts on customers' bills. Despite such lack of control, she extensively describes the Company's process for mitigating its property tax liability. (ibid.) – a process which has supposedly secured valuable credits for customers. Despite securing such credits, however, property taxes continue to represent an extraordinary burden on customers' bills. Ms. Merritt forecasts total property tax obligations of $3.286 billion in 2026, $3.559 billion in 2027, and $3.850 billion in 2028.

Given the high cost of utility delivery services, and to promote customer awareness, our recommendation is that any bill attribute that is greater than 5% of the distribution charges

should be clearly delineated on customers' bills as a separate line item, instead of being hidden within other components of the base delivery rate.

Regarding the Company's Delays in Providing the Information Required to Proceed with Connecting New Construction Projects to Con Edison's Electric and Gas Services

Q. WHAT IS YOUR CONCERN WITH THE COMPANY'S TIMETABLE FOR RESPONDING TO CUSTOMER REQUESTS FOR NEW CONSTRUCTION?

A. In June of 2024, Con Edison proposed a new tariff that would apply to a "new or existing customer" that requires "transformer(s) and/or associated equipment to receive service. First, we believe that this tariff change should have been submitted in this regulatory procedure to ensure that this significant change would receive comprehensive analysis, consideration, and evaluation that such a change would warrant. For the reasons set forth in the comments submitted by CPA and several other parties in that case, the proposed tariff modifications should be rejected.

The proposed change in tariff language also requires customers to provide "suitable space for transformers and associated equipment at customer's expense." We note that capital construction in New York City and Westchester County require extensive lead time to procure the real property required, to identify the programming requirements for such buildings, to design all elements of such buildings (including their technical infrastructure requirements), obtain regulatory approvals (some that are dependent on Con Edison

approvals), construct the work, commission the work, and obtain signoffs from regulatory agencies. This is already a lengthy and bureaucratic process, where new and/or expanded electric services from Con Edison take a minimum of two years from the date a customer opens a case to the date that service is live. Changing the utility company interconnection requirements so that Con Edison's rules, requirements, and procedures now govern a significant portion of the customers' real estate represents an unacceptable burden.

Furthermore, Con Edison's current tariff is very problematic because it provides no incentives or disincentives to provide new or expanded service in a timely manner. Rule 5.3.1.a provides as follows: "the Company shall install any necessary distribution line, service line or appurtenant facilities, with sufficient capacity and using suitable material which, in its judgment, will assure that an applicant receives safe and adequate service. Such installation shall be undertaken **as soon as is reasonably possible** after compliance with the procedures contained in this section and shall be made at a time appropriate to render service. Construction shall not be delayed by the Company except where such delay is caused by strikes, fire, flood, inclement weather, unavailability of materials, civil disorders or other conditions beyond the control of the Company."

Electric installations are not being "undertaken as soon as reasonably possible," and there are no ramifications for Con Edison's unexcused delays. For example, one CPA member applied for an expanded service for an important clinical project and 26 months later had yet to receive final design drawings from Con Edison. These kinds of delays are extremely problematic for customers seeking to improve their equipment and facilities or attempting

to comply with State and Local regulations which require decarbonization via electrification. This issue will only grow worse when the authority that controls the design and approval process for building alterations is linked with Con Edison's unreasonably lengthy planning and design process, by requiring transformers to be located inside buildings.

The unexcused delays in responding to service requests need to be addressed here so that customers can execute plans that spur economic growth and/or serve public needs in a reasonable time frame. Our recommendation is that Con Edison should be required to amend Rule 5.3.1 to include a definition of what "as soon as reasonably possible" means and should include financial penalties for Con Edison's failure to comply with those timelines. CPA submits that these changes are necessary to ensure relatively prompt action by Con Edison, which, with its revenue decoupling mechanism, currently has no incentives to hurry to connect new customers or add load for existing customers' timelines.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.